

Set-1

HSS102: Concepts in Humanities and Social Sciences

Section: “Market”

April 2026

- 1) What is Economics? What are the basic components of economics?
- 2) Show the circular flow of production and consumption of an economy between households and firms. What is the role of government in the circular flow?
- 3) What is the Production Possibility Curve (PPC)? What are the factors that influence the upward shift of the PPC?
- 4) What is the law of demand?
- 5) How can you derive the market demand curve from the individual demand curves? Discuss with an example of 5 individuals.
- 6) Discuss the following:
 - i) Giffen Goods
 - ii) Veblen Goods
 - iii) The distinction between substitute and complementary goods.
- 7) How do you derive the market supply curve? What are the factors that influence the market supply function?
- 8) Define price elasticity of demand. What is the degree of price elasticity of demand? What is the difference between point and arc price elasticity of demand? Explain mathematically.
- 9) What is the income elasticity?
- 10) What is the cross elasticity of demand? Discuss the price effect in the cross elasticity of demand.
- 11) Show the productivity curve of the production. Show different points of inflexion, considering a single factor of production.
- 12) What is the law of variable proportions in production function?
- 13) What is the isoquant curve? Show the marginal rate of technical substitution.
- 14) Find out the equilibrium level of factors of production of the firm showing tangency conditions of isoquant curves and isocost line.
- 15) What are the different types of returns to scale (Constant Returns to Scale, Increasing Returns to Scale, Decreasing Returns to Scale)

- 16) What are the differences between accounting cost, economic cost, opportunity cost, and sunk cost?
- 17) Show the relationship between ATC, AVC, AFC, and MC with the help of a diagram.
- 18) Discuss the following:
- a) Economies and diseconomies of scale
 - b) Economies and diseconomies of scope